

WIRELESS

By Shankkar Aiyar

Call it the five-year itch. Every five years or so, the telecom sector is racked by scandal and controversy. If in the 1980s it was the formation of C-Dot, in 1992 it was the opening up of the sector by Rajesh Pilot. In 1995, it was Sukh Ram's hyper-price bidding amidst allegations of favouritism. In 1999, cellular operators lobbied to migrate from the licence regime, triggering charges of corruption and, of course, the backdoor entry of Reliance in 2001 and its ratification in 2003, dubbed the "telescam" of the millennium.

In a sense, 2007 simply fits the pattern. On one side are Global System for Mobile communications (GSM) operators, while on the other is the Code Division Multiple Access (CDMA) group and new entrants, symbolised by Sunil Mittal of Bharti Group and Arun Sarin of Vodafone, as well as Anil Ambani of Reliance Communications. Mittal is in a unique position in all his businesses. If in retail his alliance with Wal-Mart is being opposed by Reliance Industries Chairman Mukesh Ambani, on the telecom front he is pitted against younger brother Anil, a self-avowed practitioner of Tsun Zu war strategy. The crux of the battle this year is on control over thin air, or spectrum. Very simply, spectrum is the lifeline of any wireless telecommunication and the government controls its allocation. While in theory 100 MHz of spectrum is available for civil use, only 35 MHz is actually available right now, as the rest is locked with the defence forces. The clarion was sounded when the Government announced three specific initiatives. It allowed CDMA players to offer GSM

“ GSM PLAYERS ARE ADOPTING AN ANTI-COMPETITION STANCE AND UNLEASHING FALSE PROPAGANDA. ”

ANIL AMBANI CHAIRMAN, RELIANCE COMMUNICATIONS